University of Kelaniya, Sri Lanka

Department of Marketing Management

Faculty of Commerce and Management Studies

Department of Marketing Management

University of Kelaniya

Crafting Strategists

SAP University Alliances

ISO 9001:2008 CERTIFIED

BECS 22732 - Marketing Fundamentals/ MGMT 22022 - Marketing Management

Lesson - 02

Marketing Environment

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01. What is Marketing Environment?

- The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers

(Kotler, Armstrong & Opresnik - Principles of Marketing 17th Edition)

- The marketing environment refers to the internal and external influences that affect the marketing function
- Marketers must be environmental trend trackers and opportunity seekers
- The marketing environment consists of a **microenvironment** and a **macroenvironment**

Macro-environment
Social
Technological
Environmental
Political/Legal
Economic
Micro-environment
Customers
Suppliers
Competitors
Intermediates
Publics
Company

02. Microenvironment and Macroenvironment

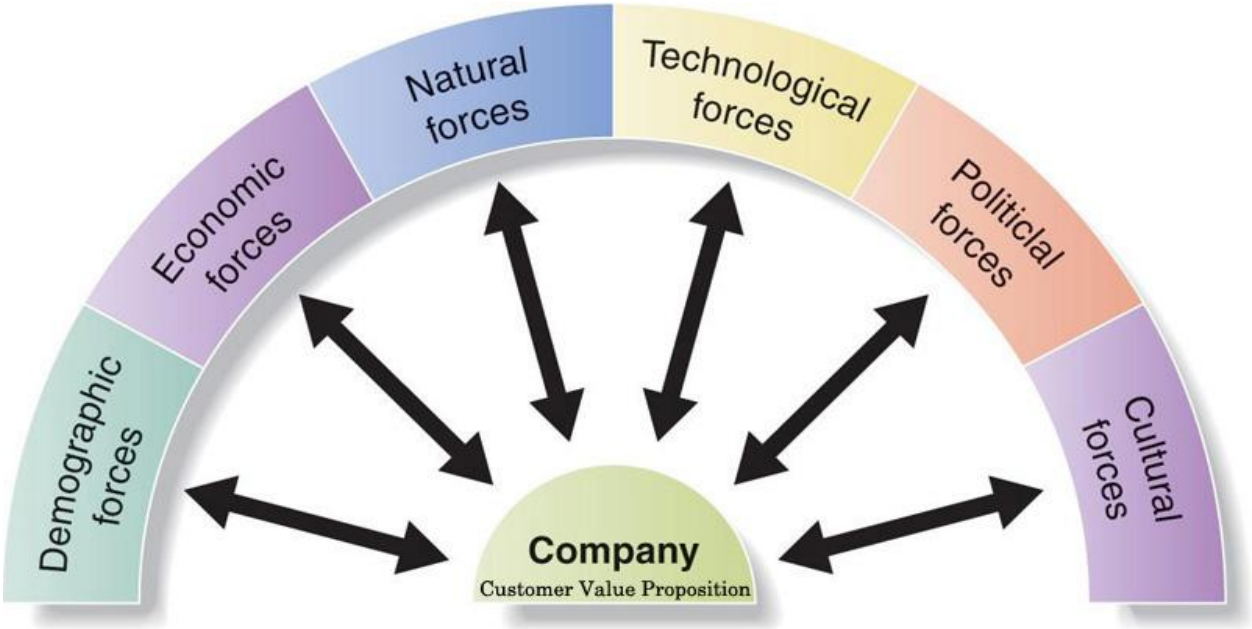
(i) Microenvironment

- The actors close to the company that affect its ability to serve its customers

02. Microenvironment and Macroenvironment Contd…

(ii) Macroenvironment

- The larger societal forces that affect the microenvironment



03. Microenvironment

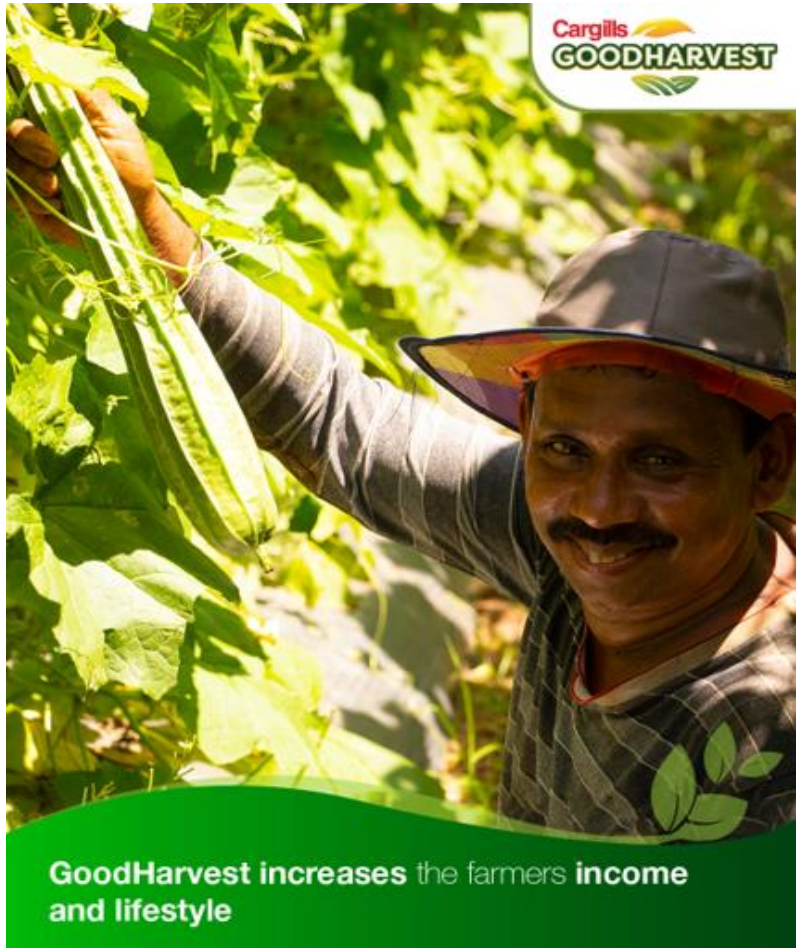
01. The Company

- Top management sets the company's vision, mission, objectives, broader strategies and policies
- Marketing managers make decisions and design marketing plans within these broader strategies and policies
- Marketing managers must work closely with other company groups/ departments (Ex: Top Management, Accounting & Finance, Research & Development, Human Resources, Operations etc.)
- Everyone share the responsibility for understanding customer needs and creating customer value

03. Microenvironment Contd…

02. Suppliers

- Suppliers form an important link in the company's overall customer value delivery network
- They provide the resources needed by the company to produce its goods and services
- Supplier problems can seriously affect the marketing function (Ex: Supplier availability, Cost, Supply shortage, Natural disasters)
- Marketers today treat their suppliers as partners in creating and delivering customer value
- Empowering, facilitating, and contributing to suppliers as part of Corporate Social Responsibility (CSR) initiatives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03. Microenvironment Contd…

03. Marketing Intermediaries

- Firms that help the company to promote, sell, and distribute its products to final buyers
- They include the following:
  - **Resellers -** wholesalers and retailers
  - **Physical distribution firms -** help the company to stock and move goods from their points of origin to their destinations
  - **Marketing services agencies -** marketing research firms, advertising agencies, media firms, and marketing consultancy firms
  - **Financial intermediaries -** banks, leasing companies, insurance companies

03. Microenvironment Contd…

04. Customers

- Customers are the most important actors in the company's microenvironment
- The entire value delivery network aims to engage target customers and create strong relationships with them
- The company might target any or all of five types of customer markets:
  - **Consumer markets -** individuals and households buy goods and services for personal consumption
  - **Business markets -** buy goods and services for further processing (Ex: to use in production process)
  - **Reseller markets -** buy goods and services to resell at a profit
  - **Government markets -** buy goods and services to produce public services or to transfer them to others who need them
  - **International markets -** buyers in other countries

03. Microenvironment Contd…

05. Competitors

- A company must provide greater customer value and satisfaction than its competitors do
- Marketers must gain strategic advantage by positioning their offerings strongly against competitors' offerings in the minds of consumers
- Each firm should consider its own size and industry position compared with those of its competitors

https://www.youtube.com/watch?v=350tD8E7htM

03. Microenvironment Contd…

06. Publics

- Any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives
  - **Financial publics -** banks, investment analysts, stockholders
  - **Media publics -** television stations, newspapers, magazines, social media
  - **Government publics -** consult company lawyers on issues of product safety, truth in advertising
  - **Citizen-action publics -** consumer organizations, environmental groups
  - **Internal publics -** workers, managers, board of directors
  - **General publics -** needs to be concerned about the general public's attitude towards its products and activities
  - **Local publics -** local community residents and organizations
- Need to build up relationships with publics in order to be ethical in marketing

04. Macroenvironment

01. The Political and Legal Environment

- Consists of legislation and laws, government agencies, political parties, and pressure groups that influence or limit various organizations and individuals in a given society
- Legislation Regulating Business:
  - Even the strongest advocates of free-market economies agree that the system works best with at least some regulation
  - Well-conceived regulation can encourage competition and ensure fair markets
  - Governments develop public policy to guide commerce - sets of laws and regulations that limit business for the good of society as a whole
  - Almost every marketing activity is subject to a wide range of laws and regulations
  - Legislation affecting business around the world has increased steadily over the years
- Increased emphasis on ethics and socially responsible actions

04. Macroenvironment Contd…

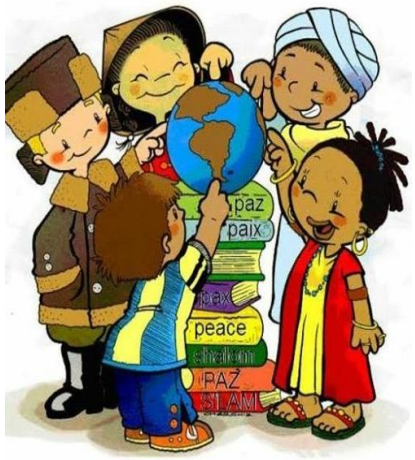
02. The Economic Environment

- Consists of economic factors that affect consumer purchasing power, buying behavior and spending patterns
- Differences in income distribution:
  - Developing countries
  - Developed countries
  - Emerging economies
- Economic factors:
  - Depreciation of foreign exchange rate
  - Deficit in balance-of-payment
  - Expansion of middle-class segment

- Consumer behavior during economic crisis;
  - Value than luxury products
  - Saving money
  - Products last longer (Durability)
  - Well-made, basic products at low cost

- Marketers are interested in;
  - Reducing the costs of operations
  - Brand development based on trust

04. Macroenvironment Contd…



03. The Socio-Cultural Environment

- Consists of institutions and other forces that affect a society's basic values, perceptions, preferences, and behaviors
- People grow up in a particular society that shapes their basic beliefs and values. They absorb a worldview that defines relationships with others
- Cultural characteristics affecting marketing decision making:
  - Diversity - languages, religions, values, caste systems, habits
  - The persistence of cultural values - core beliefs and values have a high degree of persistence
  - Secondary beliefs and values are more open to change - shifts in secondary cultural values. Although core values are fairly persistent, cultural swings do take place
- Marketers want to predict cultural shifts to spot new opportunities or threats

04. Macroenvironment Contd…

04. The Technological Environment

- Forces that create new technologies, creating new product and market opportunities
- Accelerating pace of change - change in marketing channels, interface between buyer and seller
- Unlimited opportunities for innovation (Ex: Biotechnology, Robotics, Nano technology)
- Use of artificial intelligence in business
- Social media effect on marketing:
    - Receive feedback about products and strategies immediately
    - Customers help to develop the brands (liking, commenting, E-Word of Mouth)
    - Marketing becomes conversational in nature
    - Low-cost social media marketing campaigns
    - Social networking

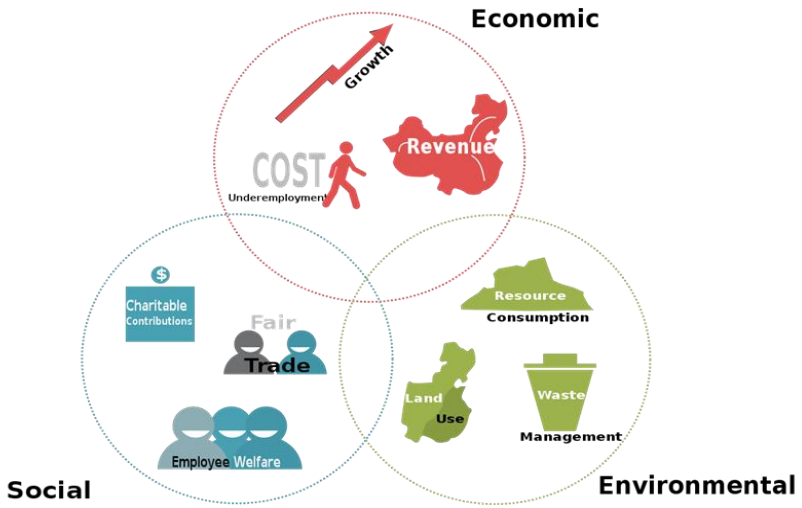
NEW TECHNOLOGIES CAN OFFER EXCITING OPPORTUNITIES FOR MARKETERS

- ✓ What would you think about having tiny little transmitters implanted in all the products you buy that would allow tracking of the products from their point of production through use and disposal?
- ✓ How about a bracelet with a chip inserted that would let you make and pay for purchases, receive personalized specials at retail locations

04. Macroenvironment Contd…

05. The Ecological/ Natural Environment

- The physical environment and the natural resources that are needed as inputs by marketers or that are affected by marketing activities
- Emergence of environmental sustainability, sustainable marketing and green marketing concepts
- Consumers who are concerning about green products and sustainable business practices (https://www.youtube.com/watch?v=uZQ5ZdRawpQ)



04. Macroenvironment Contd…

06. The Demographic Environment

- Demography is the study of human populations in terms of size, density, location, age, gender, race, occupation, and other statistics. This is of major interest to marketers because it involves people, and people make up markets
- Changing demographics mean changes in markets and marketing strategies
  - Ex: Netflix created a “Just for Kids” portal and app targeting today’s fast-growing young, tech-savvy “Gen Z” segment

- Trends in demographic environment:
  - Decline in population growth rate
  - The changing age structure of the population (Ex: Ageing population)
  - Geographic shifts in population (Ex: Urbanization, Migration)
  - A Better-Educated, More White-Collar, More Professional Population
  - Increasing diversity
  - Behavior changes of new generations:
    - Tech-savvy, work flexibility and green-consciousness
    - Inquisitive, courageous and creative
    - Health and wellness concerns
    - Ethnic markets
    - Changing role of women
    - Global super society (Elite market)
    - Greener consumers

PESTEL Analysis:

Michael Porters Five Forces Model:

RIVALRY AMONG EXISTING COMPETITORS:

- Number of competitors
- Diversity of competitors
- Industry concentration
- Industry growth
- Quality differences
- Brand loyalty
- Barriers to exit
- Switching costs

THREAT OF NEW ENTRANTS:

- Barriers to entry
- Economies of scale
- Brand loyalty
- Capital requirements
- Cumulative experience
- Government policies
- Access to distribution channels
- Switching costs

BARGAINING POWER OF SUPPLIERS:

- Number and size of suppliers
- Uniqueness of each supplier's product
- Focal company's ability to substitute

BARGAINING POWER OF BUYERS:

- Number of customers
- Size of each customer order
- Differences between competitors
- Price sensitivity
- Buyer's ability to substitute
- Buyer's information availability
- Switching costs

THREAT OF SUBSTITUTE PRODUCTS:

- Number of substitute products available
- Buyer propensity to substitute
- Relative price performance of substitute
- Perceived level of product differentiation
- Switching costs

SWOT Analysis:

Internal

Strengths

- What do we do well?
- What have our customers or partners told us they like about us?
- In what areas do we outpace our competitors?
- What's unique about our business, products, or services?
- What assets do we own (Intellectual property, proprietary technology, capitol)?

Weaknesses

- What can we improve?
- What are our customers or partners dissatisfied with?
- Where do we fall behind our competitors?
- Where are we lacking in knowledge or resources?

External

Opportunities

- What emerging trends can we take advantage of?
- Which of our strengths might be valuable to potential partners?
- What adjacent markets might we tap into?
- Are there geographic locations with less competition?

Threats

- What is our competition doing?
- How could our weaknesses leave us vulnerable?
- What market trends are we unprepared for?
- What economic or political issues could impact our business?

Positive

Negative

THANK YOU!